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Digital Identity as a Foundation for Inclusive Growth

Digital IDs (like MOSIP) provide *legal identity* and form the backbone of Digital Public Infrastructure (DPI), linking people to public and private services [1]. Globally, **~1 billion** people lack any official ID [2], effectively locking them out of jobs, finance, healthcare and education. Without ID "people face obstacles to accessing… services provided by the state" and miss "economic opportunities – from jobs to social services and benefits" [3]. For example, India's Aadhaar biometric ID (now 1.3B enrollments) **"significantly accelerated economic formalization"** and made welfare delivery more efficient [4]. Digital identity systems thus help fulfill SDG 8 by promoting *"sustained, inclusive economic growth"* and by fulfilling SDG 16.9 (legal ID for all) so that no one is left behind [3] [5].

- **Global reach:** MOSIP alone has issued over 100 million IDs (2018–2023), with full programs rolling out in the Philippines, Ethiopia, Morocco and pilots in several African and Asian countries [6].
- **DPI role:** Digital IDs are a core component of DPI (alongside payments and data-sharing) for building digital economies [5] [1]. By ensuring each person is uniquely identified and data is secure, DPI enables services to reach marginalized populations.

![Chart: Ownership of official ID and mobile access in developing countries (GSMA 2021)]



Figure: In GSMA surveys across seven emerging economies, having a national ID card raised by 33 percentage points the chance of owning a SIM card in one's name [7].

Barriers Facing the Underserved

Vulnerable groups in developing countries face multiple obstacles to digital inclusion:

- **No legal ID:** Many rural, poor, or displaced people (especially women and refugees) have no official ID. In low-income countries, 26% of unbanked adults cited "lack of documentation" as a key barrier to financial services [8]. Marginalized women are about 30% *less* likely than men to have an ID [8]. Without ID they cannot open bank accounts, apply for loans, or register businesses.
- **Financial exclusion:** Formal jobs and digital platforms typically require KYC-compliant bank or mobile money accounts. In practice, people without ID are shut out of savings, credit and insurance [8]. (Even when smartphones are common, many remain "unbanked but connected" – the paradox of digital penetration outpacing financial access.)
- **Connectivity gap:** Many countries require official ID to register a SIM/mobile money account. GSMA found that *official ID is the strongest predictor of mobile connectivity*: SIM cards are far more likely to be in the user's own name if they have an ID [7]. Without a SIM in their name, people cannot easily use fintech apps or gig platforms on their own devices.
- **Platform access:** Most gig-economy and platform jobs (ride-hailing, delivery, online freelancing, etc.) require verified identity and payment accounts. Without ID, workers cannot legally register on these platforms or receive digital payments.
- **Informality and insecurity:** Workers in the informal sector (street vendors, day laborers, home-based workers) often lack any documentation. This invisibility makes it hard to enforce labor protections or offer social insurance, worsening job precarity.

How Digital ID Overcomes Challenges

By providing *portable, verifiable identity*, digital IDs unlock new opportunities for inclusion and decent work:

- **Access to finance:** A verified ID makes it easy to open bank or mobile-money accounts and access microloans or insurance. With digital IDs, people can store savings securely and use digital payments. For example, Ethiopia's MOSIP-based Fayda ID now lets refugees and citizens open bank accounts for the first time [9]. India's Aadhaar similarly linked millions to banking and subsidies.
- **Gig and digital work:** A trusted digital ID lets workers prove who they are to gig platforms and clients. Verified profiles increase trust and reduce fraud, enabling more people (including youth and women) to join the platform economy. Mobile apps for freelancing, tutoring, and delivery become accessible once users have a recognized ID and digital wallet.
- **Social protection and rights:** Digital ID provides official recognition that makes informal workers visible to governments. Authorities can then design programs (health insurance, pensions, unemployment benefits) for these groups. For example, Malaysia's government partnered with a digital labor platform to register workers for pension programs, even contributing 5% on their behalf [10]. Such schemes depend on digital identity to link earnings and contributions to individuals.
- **Service delivery and jobs:** Governments can use ID to target training programs, apprenticeships, and microenterprise schemes to the needy. In the Philippines, MOSIP-based ID authentications (over 40 million to date) have let authorities extend the 4Ps welfare program into remote islands quickly and efficiently [11]. This kind of digital delivery makes social safety nets and job programs more inclusive and reduces leakage.

Examples and Case Studies

Numerous countries show how digital ID drives inclusive development:

- **Philippines:** The national ID (PhilSys, built on MOSIP) completed over 40 million authentications, allowing social benefits to reach even remote island communities. This made poverty-alleviation programs like Pantawid (4Ps) more **efficient and accessible** [11]. The system's offline capabilities are crucial for archipelagos with poor connectivity.
- **Ethiopia:** The new *Fayda* ID (MOSIP-based) is a landmark example. A UNHCR-supported rollout is registering up to 1 million residents and refugees in Addis Ababa. Already 77,000 refugees have been enrolled, granting them formal identity [12]. As a result, thousands of previously stateless people can now open bank accounts, enroll in school, obtain business permits, and access healthcare [9]. ("The Fayda ID has helped us to be recognised," says a refugee who now owns a café [9].)
- **Zambia:** Digital ID was integrated with government-to-person (G2P) systems to manage an emergency cash relief program for drought-affected households. MOSIP's eSign module and OpenG2P let the Smart Zambia Institute authenticate 92,515 beneficiaries quickly and deliver transfers transparently [13]. This shows how ID can streamline aid and employment schemes during crises.
- **India:** Although Aadhaar is a national program predating MOSIP, its impact is instructive. By assigning a unique digital identity to each person, Aadhaar vastly improved subsidy targeting, tax collection and e-governance. Studies credit Aadhaar with accelerating formalization of the economy and linking millions to banking and pensions [4]. MOSIP's founders deliberately mimicked Aadhaar's key features (uniqueness, data-minimization, offline enrollment, scalability) to reproduce these benefits in other countries [14].
- **Other Africa and Asia pilots:** Beyond these, MOSIP engagements in Uganda, Morocco, Philippines, and several West African countries are gathering early evidence. For instance, biometric digital IDs are being used to enable mobile payment accounts and KYC in Liberia and Sierra Leone. As MOSIP expands, more stories of inclusion emerge (e.g. enabling women to claim land or credit via verified ID).

Toward Truly Inclusive SDG8

Digital identity alone is not a panacea, but it is a **critical enabler** of inclusive economic growth. By officially recognizing every person, it provides the *platform* for financial services, digital jobs, and social protection to reach the formerly invisible. Combined with broadband access and digital literacy programs, digital IDs can help youth and marginalized groups move from informal, insecure work into **fuller participation** in the economy. As experts note, strengthening DPI (including robust ID systems) is key to "leave no one behind" and achieve SDG8 [3] [5]. The MOSIP case studies show that open-source digital ID can break barriers: where once millions had no paperwork and no prospects, they now hold a recognized identity that unlocks bank accounts, online work, and government services [11] [9]. Policymakers and development partners should therefore invest in interoperable, user-centric ID systems – the evidence is clear that these systems expand opportunities, boost productivity, and improve job security for society's most vulnerable [11] [10].

Sources: Peer-reviewed reports and policy studies from the World Bank, GSMA, MOSIP documentation, and development institutes support these findings [2] [3] [11] [9] [7]. Each cited source provides real-world data or examples of digital ID enabling inclusive work and growth in low-resource settings.

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